At the First Battle of Panipat, in 1526, Babur secured a decisive victory over the much larger Lodi army, and Ibrahim Lodi himself was killed in battle. While the exact strength of the Lodi army is not known, Babur calculated it to be 100,000-strong with 1,000 elephants. Unlike Timur, for Babur this was no plundering raid. This was the longed-for country, rich in resources and manpower, where he could build an empire of magnificence to rival that of his illustrious ancestor, Timur. Having won the battle, therefore, Babur then protected the population of the city and secured the safety of Ibrahim Lodi's mother[†] before going to give thanks at the dargahs of the two great Sufi saints of Delhi, Qutbuddin Bakhtiyar Kaki and Nizamuddin Auliya. Babur and Humayun then moved south to Agra, deeper into the hinterland, and Agra would become Babur's capital city.

In 1527, Babur defeated Rana Sangha, the Sisodiya ruler, and his 80,000 cavalry, at Khanua. At the Battle of Panipat and the Battle of Khanua, Babur was able to face terrifying odds, armies ten times larger than his own and composed of fierce warriors armed with steel weapons and horses, because of his innovative use of a recent invention in warfare—gunpowder. The most deadly weapon in his arsenal at this time was the tufang, or matchlock musket, much easier to master than the composite bow. As we will see, under his grandson, Akbar, 'a new style of combat built around gunpowder, infantry and combined arms tactics replaced an old order based on the warhorse and elephant'. By the seventeenth century, the Mughal Empire would be using 'more than a million soldiers under arms and controlling nearly a quarter of the world's economic output'.

Entirely aware that though he was victorious, he was thoroughly outnumbered in Hindustan, Babur came to arrangements with the defeated Sisodiyas. As a result of these pragmatic understandings, of the 145 noblemen who served under Babur, only 52 can be identified as strictly 'Mughal', while as many as 33 were classified as Afghans or Indian shaikhzadas. Babur further noted that one of his Afghan officers supplied troops which consisted of only 250-300 Turanis[*] and 2,000 Hindustanis. This incorporation of Hindustani troops into his army at this early stage of the Mughal Empire reflects Babur's willingness to work around some of the injunctions of the sharia in the face of his parvenu status in Hindustan, where he was keen to adopt new symbols of legitimacy. Babur understood the challenges he was faced with in a heterogeneous country. Many considered the Mughals detrimental to all Hindustanis, Muslims and Hindus